

2. Making a Budget

Once you’ve watched your spending for a while, it’s time to make a plan for your money and budget.

Start by looking at the things you have to spend money on every month, like rent or bills. We call these “fixed expenses.” You can’t really change how much you spend on these things, so you need to make sure you have enough money set aside for them.

MONTHLY BREAKDOWN

PARTICULARS	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec
INCOME												
Monthly Income	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000	₹ 55,000
EXPENSES												
Fixed Recurring	₹ 30,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 18,700	₹ 68,700	₹ 18,700	₹ 18,700
% of Income	56%	34%	34%	34%	34%	34%	34%	34%	34%	125%	34%	34%
Variable Recurring	₹ 10,400	₹ 8,600	₹ 8,900	₹ 10,700	₹ 12,500	₹ 10,600	₹ 9,200	₹ 9,450	₹ 8,550	₹ 9,200	₹ 9,450	₹ 9,450
% of Income	19%	16%	16%	19%	23%	19%	17%	17%	16%	17%	17%	17%
Discretionary	₹ 3,500	₹ 2,400	₹ 300	₹ 800	₹ 1,000	₹ 4,000	₹ 7,900	₹ 0	₹ 100	₹ 7,900	₹ 0	₹ 0
% of Income	6%	4%	1%	1%	2%	7%	14%	0%	0%	14.36%	0.00%	0.00%
Total Expense	₹44,600	₹29,700	₹27,900	₹30,200	₹32,200	₹33,300	₹35,800	₹28,150	₹77,350	₹35,800	₹28,150	₹28,150
% of Income	81%	54%	51%	55%	59%	61%	65%	51%	141%	65%	51%	51%
SAVINGS												
Amount of Monthly Savings	₹ 10,400	₹ 25,300	₹ 27,100	₹ 24,300	₹ 22,800	₹ 21,700	₹ 19,200	₹ 26,850	-₹ 22,350	₹ 19,200	₹ 26,850	₹ 26,850
% of Monthly Savings	19%	46%	49%	45%	41%	39%	35%	49%	-41%	35%	49%	49%

Then, look at the things you spend money on regularly but can change, like groceries or transportation. These are “variable expenses.” If you’re spending a lot in one area, like going out to eat, you might find ways to spend less, like cooking at home more often.

It’s also a good idea to set aside some money for fun stuff, like going to the movies or buying new clothes. We call this “discretionary spending.”